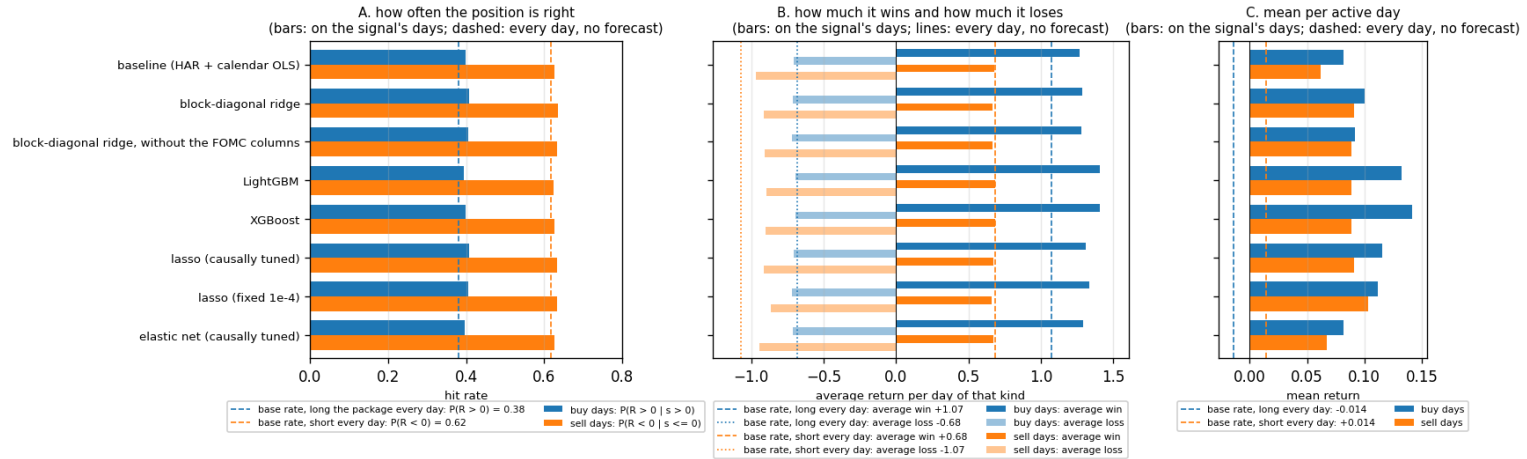


ODTE 15:30–16:00 nearest-OTM package: how often the signal is right, and by how much, 866 common days

	n	hit rate	avg. win	avg. loss	mean/day	$P(R = -1)$
<i>Buy days ($s_t > 0$): the long package's return R</i>						
baseline (HAR + calendar OLS)	286	0.399	+1.267	-0.703	+0.082	0.231
block-diagonal ridge	346	0.408	+1.284	-0.713	+0.100	0.228
block-diagonal ridge, no FOMC columns	355	0.406	+1.276	-0.716	+0.092	0.228
LightGBM	290	0.393	+1.407	-0.693	+0.133	0.224
XGBoost	279	0.398	+1.406	-0.693	+0.142	0.222
lasso (causally tuned)	321	0.408	+1.311	-0.709	+0.115	0.215
lasso ($\alpha = 10^{-4}$)	358	0.405	+1.335	-0.721	+0.112	0.232
elastic net (causally tuned)	307	0.397	+1.289	-0.714	+0.082	0.225
<i>base rate: long the package every day</i>	866	0.381	+1.072	-0.684	-0.014	0.223
<i>Sell days ($s_t \leq 0$): the short package's return $-R$</i>						
baseline (HAR + calendar OLS)	580	0.626	+0.676	-0.965	+0.062	0.219
block-diagonal ridge	520	0.635	+0.667	-0.910	+0.091	0.219
block-diagonal ridge, no FOMC columns	511	0.634	+0.665	-0.910	+0.089	0.219
LightGBM	576	0.623	+0.681	-0.892	+0.088	0.222
XGBoost	587	0.625	+0.681	-0.899	+0.089	0.223
lasso (causally tuned)	545	0.633	+0.672	-0.911	+0.091	0.228
lasso ($\alpha = 10^{-4}$)	508	0.634	+0.661	-0.862	+0.103	0.217
elastic net (causally tuned)	559	0.626	+0.670	-0.941	+0.067	0.222
<i>base rate: short the package every day</i>	866	0.618	+0.685	-1.069	+0.014	0.223

the signal's days against the base rates (the same statistic with the package held every day, no forecast), 866 common days, midpoint fills



A hit on a buy day is $R > 0$; on a sell day it is $R < 0$. The average win and loss are the conditional means of the position's return, R on buy days and $-R$ on sell days, on its winning and losing days; mean/day is the position's mean return per active day; $P(R = -1)$ is the share of days the package expires worthless. The base-rate rows are the same statistics over all 866 days with the package held every day and no forecast: long for the buy panel, short for the sell panel. Mid fill; returns in units of the entry premium. In the figure, bars are the signal's days and the dashed lines are the base rates.